LEADERSHIP DECISION PAPER

# Kupferkanne: win-back discount allocation

Test a 15% rate for Hibernating in a controlled pilot with holdouts before the playbook changes.

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ryszard-twardy.github.io/kupferkanne · Kupferkanne is a fictional brand; the data is synthetic and regenerable.

## EXECUTIVE SUMMARY

At Risk and Hibernating hold 26.1% of scored customers but 2.0% of the revenue base. The win-back playbook offers At Risk 15% and Hibernating 20%. This paper sets out why the rate, not the allocation, is the first thing to test, and how to test it.

### PROBLEM

20%

off for Hibernating, the thinnest margin at 46.69%; At Risk gets 15% at 51.97%. The deepest discount goes to the thinnest margin.

### CAUSE

1.85×

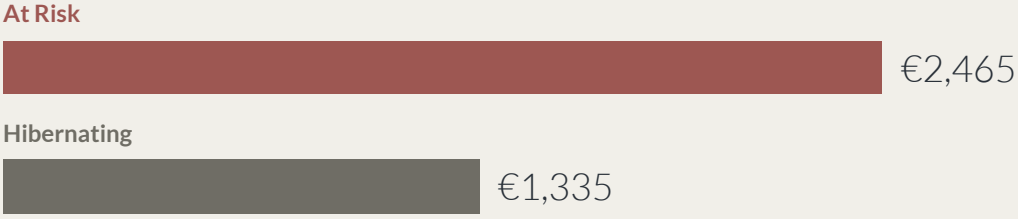
as much contribution per euro of discount in At Risk at the playbook's rates, but about 1.2 times at either common rate: most of the gap comes from the rates.

### UNCERTAINTY

Modelled

The figures measure margin efficiency once an order is placed, not incrementality, so the ranking can narrow or reverse.

**Exhibit 1 · Contribution per €1,000 of discount, at the playbook's rates**




At the playbook's rates, each €1,000 of discount retains €2,465 of contribution in At Risk and €1,335 in Hibernating, 1.85 times as much. A margin-efficiency figure on orders placed, not an incremental return.

The recommendation is a pilot with holdouts in both segments and a decision rule fixed before launch. The leadership team is asked to approve it and to fix three settings today: group shares, the observation window and contact-cost recording.

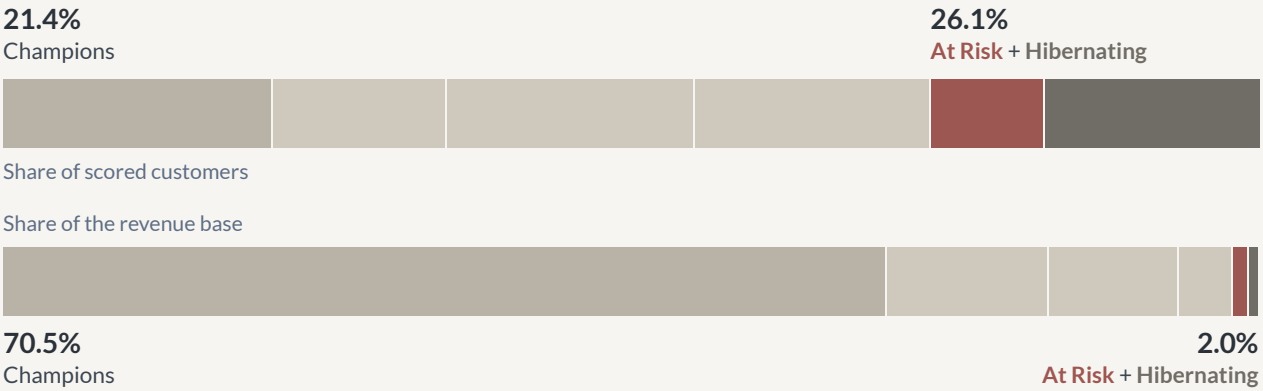
SITUATION

## The win-back pool is broad but shallow: 26.1% of scored customers, 2.0% of the revenue base.

Kupferkanne scores 14,967 customers into six segments. The two win-back segments, At Risk and Hibernating, hold 3,909 of them, 26.1% of scored customers, but €170,808.74 of lifetime spend, 2.0% of the revenue base. Value sits at the other end: Champions are 21.4% of scored customers and 70.5% of the revenue base.

The decision is therefore about margin discipline on a small pool, not a growth lever. Any reallocation is bounded: the playbook's budget shares are Low (7%) for At Risk and Minimal (3%) for Hibernating.

**Exhibit 2 · Share of scored customers and of the revenue base, by segment**



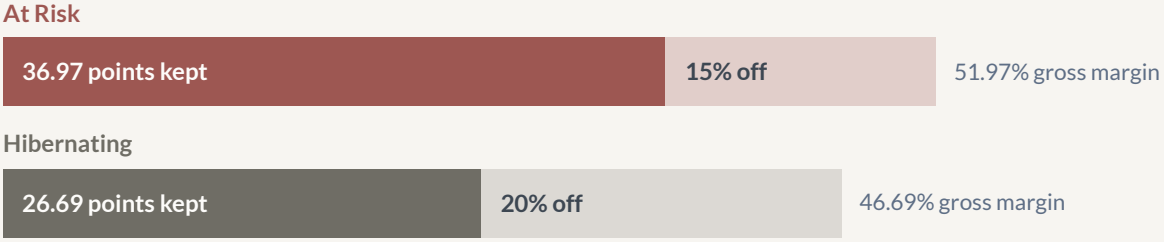

Light grey: Loyal Customers, Potential Loyalists and Recent Customers. Source: docs/methodology.md, Appendix: segment shares.

THE PROBLEM

## The playbook gives its deepest discount, 20%, to its thinnest margin, Hibernating at 46.69%.

Gross margin falls with each step down the composite score, from 61.11% for Champions to 46.69% for Hibernating. Yet the playbook's deepest win-back discount, 20%, goes to Hibernating, while At Risk, at a 51.97% gross margin, gets 15%. Because the discount is a percentage off order value and unit cost is unchanged, contribution is simply gross margin minus the discount rate: after its offer, At Risk keeps 36.97 points of order value and Hibernating keeps 26.69.

**Exhibit 3 · Points of pre-offer order value kept as contribution and given away as the win-back discount**



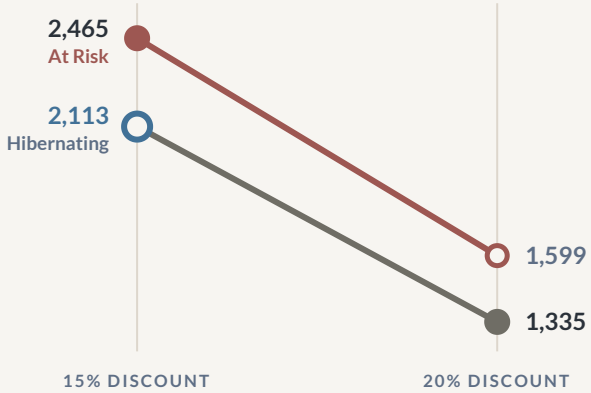

Source: docs/methodology.md, Win-back discount allocation.

THE CAUSE

## The per-euro gap comes mostly from the rates: at either common rate, At Risk retains about 1.2× as much.

Per euro of discount, contribution is (gross margin − discount rate) ÷ discount rate: 2.4647 for At Risk at 15% and 1.3345 for Hibernating at 20%. At the playbook's rates, At Risk therefore retains 1.85 times as much contribution per euro of discount. Read at one common rate instead, the gap shrinks to about 1.2 times, at 15% (2.46 against 2.11) and at 20% (1.60 against 1.33), and swapping the rates reverses the ranking. The lever is the rate, and the cheapest first test is whether Hibernating works at 15% instead of 20%.

**Exhibit 4 · Contribution (€) per €1,000 of discount, on orders placed**




1.85×

as much in At Risk at the playbook's rates (the filled dots)

about 1.2×

at either common rate, reading down a column; swapping the rates reverses the ranking

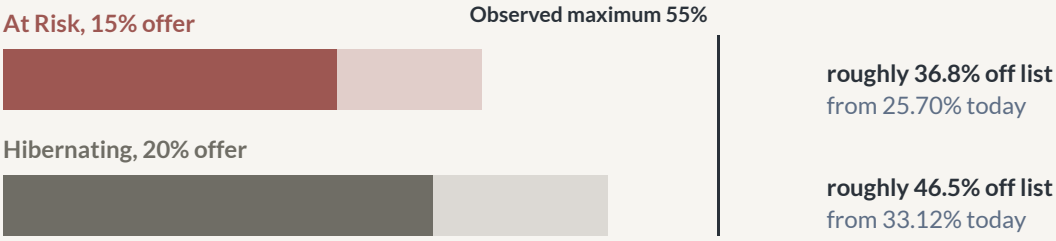
Filled dots: the playbook's rates. Blue ring: the rate under test. The values at 1,599 and 2,113 are derived from the margins and rates (per euro 1.60 and 2.11 in docs/methodology.md).

THE UNCERTAINTY

## The figures measure margin efficiency once an order is placed, not incrementality, so the ranking can narrow or reverse.

Every figure so far measures how much margin a euro of discount keeps once an order is placed; none says whether the discount caused the order. An At Risk customer may have ordered without the offer, which turns part of the concession into deadweight; a Hibernating customer is less likely to. Both segments already buy at a discount: mean realised discount is 25.70% for At Risk and 33.12% for Hibernating, and a further 15 or 20 points compounds to roughly 36.8% and 46.5% off list, against an observed maximum of 55%. No campaign cost exists in the data, and the dataset is synthetic: the figures attest to pipeline integrity rather than to a market observation.

**Exhibit 5 · Discount off list price: mean realised today (dark) and with the win-back offer on top (light)**




Source: docs/methodology.md, Limitations.

THE PILOT

## A controlled pilot with holdouts tests Hibernating's rate first; an unresolved interval keeps the playbook.

Eligible customers are randomised within each segment into five groups: in At Risk, the playbook's 15% offer and a holdout with no win-back discount; in Hibernating, the playbook's 20% offer, a 15% offer under test and a holdout. The primary metric is incremental contribution per euro of discount, each offer group against its segment's holdout, built from per-customer means over an observation window set before launch.

**Exhibit 6 · Pilot groups**

| At Risk | | Hibernating | | |
|---|---|---|---|---|
| **Offer 15%**<br>playbook rate | **Holdout**<br>no win-back discount | **Offer 20%**<br>playbook rate | **Offer 15%**<br>rate under test | **Holdout**<br>no win-back discount |

The decision rule is fixed before launch, and every decision defaults to the playbook as it is. Stage 1 sets the rate: Hibernating moves to 15% only if the lower bound for the 15% group minus the 20% group is above zero. Stage 2 sets the floor and the priority: each offer stops only if the upper bound of its incremental contribution per euro of discount is below break-even, and, if the budget cannot cover everyone, At Risk goes first only if its lower bound clears break-even and beats Hibernating at the selected rate. Intervals are 95% BCa bootstrap intervals; the first wave sizes the groups and is excluded from the decision data.

THE ASK

## Approve the pilot and fix its group shares, observation window and contact-cost recording before launch.

Three settings need a decision before launch.

GROUP SHARES

The shares of the five groups are fixed in advance.

OBSERVATION WINDOW

Set together with the decision rule; contribution counts every assigned customer, at zero for those who place no order.

CONTACT-COST RECORDING

Per contacted customer, deducted from the offer group's contribution. It matters more than it looks: at the 10% planning rate, contribution is exhausted at €1.49 per contact in At Risk and €0.67 in Hibernating.

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# Approve the pilot

If the result is unclear, nothing changes: the playbook stays as it is. The downside is bounded, and the pilot produces evidence on which rate pays for itself.

APPENDIX A1

## Derivation of the per-euro figures and the contact-cost basis

| Segment | Revenue<br>A | Profit<br>B | Gross margin<br>C = B ÷ A | Discount<br>D | Kept, pts<br>E = C − D | Per euro<br>F = E ÷ D | AOV<br>G | Per order<br>H = E × G | Contact cost<br>I = H ÷ 10 |
|---|---|---|---|---|---|---|---|---|---|
| At Risk | 106,109.36 | 55,146.16 | 51.9711% | 15% | 36.97 | **2.4647** | 40.28 | 14.89 | **1.49** |
| Hibernating | 64,699.38 | 30,208.48 | 46.6905% | 20% | 26.69 | **1.3345** | 25.00 | 6.67 | **0.67** |

At the playbook's rates; amounts in €; kept = points of order value left as contribution after the discount. AOV = revenue ÷ orders (2,634 and 2,588 orders). Contact cost at which contribution is exhausted: H ÷ 10 contacts, at the What-If default reactivation rate of 10% (a planning assumption, not a measured rate) and one recovered order per reactivated customer. Contact, send and fulfilment costs are not in the data.

| Per euro of discount | At 15% | At 20% |
|---|---|---|
| At Risk | 2.46 | 1.60 |
| Hibernating | 2.11 | 1.33 |

**1.85×** along the playbook's rates: 2.4647 ÷ 1.3345.

**About 1.2×** at either common rate, reading down a column.

Segment colour: the playbook's rates. Blue: the rate under test. Multiplied by 1,000, the playbook figures are the €2,465 and €1,335 per €1,000 of discount in Exhibits 1 and 4.

APPENDIX A2

## Segment shares of scored customers and of the revenue base

| Segment | Customers | Share of scored customers | Lifetime spend (€) | Share of revenue base |
|---|---|---|---|---|
| Champions | 3,209 | 21.44% | 5,973,272.78 | 70.47% |
| Loyal Customers | 2,077 | 13.88% | 1,096,121.16 | 12.93% |
| Potential Loyalists | 2,955 | 19.74% | 874,921.68 | 10.32% |
| Recent Customers | 2,817 | 18.82% | 361,076.38 | 4.26% |
| At Risk | 1,365 | 9.12% | 106,109.36 | 1.25% |
| Hibernating | 2,544 | 17.00% | 64,699.38 | 0.76% |
| At Risk + Hibernating | **3,909** | **26.12%** | **170,808.74** | **2.02%** |
| **Total** | **14,967** | **100.00%** | **8,476,200.74** | **100.00%** |

Bars use one scale for both shares. Shares are rounded; subtotals use unrounded values. Source: docs/methodology.md, Appendix: segment shares; v_rfm_for_bi at the segment snapshot.

APPENDIX A3

## Data and method

SCALE

**14,967** scored customers; **168,777** orders; revenue base **€8,476,200.74**, profit margin **59.52%**

DATA AND PIPELINE

Roughly **462K** raw records, synthetic and regenerable; a ten-step BigQuery SQL pipeline plus two views

MODEL AND SEGMENTS

Power BI, **105** DAX measures; segments are a single snapshot at the analysis date, so migration is not computable

OPEN ISSUE

**646** of 168,777 orders fall outside the 0.001 order-value tolerance; unexplained and tracked

APPENDIX A4

## Pilot decision rule and statistics

### DECISION RULE

STAGE 1: RATE

Hibernating moves to 15% only if the lower bound for the 15% group minus the 20% group is above zero

STAGE 2: FLOOR

An offer stops only if the upper bound of its interval lies below break-even

STAGE 2: PRIORITY

If the budget is short, At Risk goes first only if its lower bound clears break-even and beats Hibernating

### STATISTICS

INTERVALS

**95%** BCa bootstrap intervals that resample customers within each segment and group

SCOPE OF THE VERDICT

The verdict holds at the tested rates only

STAGE 1 METRIC

Per euro of discount if the budget cannot cover everyone, else per assigned customer

FIRST WAVE AND DEFAULTS

The first wave sizes the groups and is excluded from the decision data; every decision defaults to the playbook as it is

ABOUT THIS PAPER

## Sources and status

- Every figure comes from the public project repository: README.md ("The finding") and docs/methodology.md ("Win-back discount allocation", "Pilot design", "Limitations", "Appendix: segment shares"). Each figure is stated with its condition.
- The deck and this report read every figure from briefing/values.json, which the project's exhibits notebook writes: it checks published values against the literals in docs/methodology.md and README.md and computes the derived ones by stated formulas. The values €1,599 and €2,113 per €1,000 of discount are derived from the published margins and rates; the A2 subtotal shares, 26.12% and 2.02%, are computed from unrounded values.
- Kupferkanne is a fictional brand and the data is synthetic and regenerable: the figures prove the pipeline, not a market.
- Project page: ryszard-twardy.github.io/kupferkanne